

“Current markets are overvalued, and they have been overvalued for quite some time. 2025 can be challenging, yes, but not something we have not seen before,” says Nikhil Gangil, smallcase Manager and Founder of Intrinsic Value Equity Advisors.

However, if we see the long-term trend, over the past decade, India’s stock market has shown substantial resilience across different indices. And the data bears this out. From November 17, 2014, to November 19, 2024, the BSE Midcap index surged from 10,248 to 44,630, reflecting an impressive 335% increase. The BSE Smallcap index recorded an even higher growth of 408%, moving from 10,338 to 52,491. Meanwhile, the benchmark BSE Sensex, which tracks 30 of the largest companies, grew by 175%, climbing from 28,178 to 77,578. This robust performance underscores a significant bullish trend, highlighting the strong investor confidence and economic resil-

ience over the decade in India’s capital markets (see table ‘Market surge’).

DEBT

India’s debt market in 2023-24 showed notable yield volatility, with the 10-year G-sec yield hovering at 7.15–7.30%, supported by the Reserve Bank of India’s stable monetary policy. Corporate bond spreads widened, especially for AA-rated bonds and below, reflecting investor wariness. State development loans gained momentum, and foreign optimism returned as Indian bonds joined global indices. Retail investors favoured government securities, while institutional players opted for shorter durations.

Debt funds have shown varied returns over different periods. Gilt funds, with a 10-year constant duration, led with a 10-year average return of 8.16% and 10.28% over one year. Dynamic bonds offered steady returns, peaking at 7.31% over 10 years. Corporate bonds fol-

lowed closely, averaging 7.23% over the same period (see table ‘Debt fund returns’).

No wonder, market experts are bullish about the bond markets. Debt market expert Vishal Goenka, who is the Co-founder of Indiabonds.com, is of the opinion that in India the rupee has shown remarkable resilience, coupled with large macroeconomic stability.

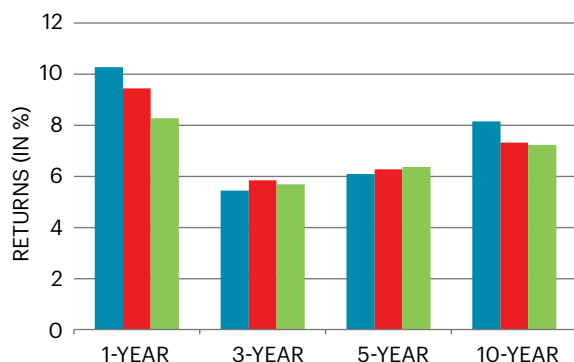
“Hence, for bond investors, returns this year have been solid and consistent, exactly what fixed income aims to deliver, which is, portfolio stability and diversification with attractive returns,” he says.

But Siddharth Maurya, Founder and Managing Director of real estate firm Vibhavangal Anukulkara, has a slightly different view. According to him, there are both upsides and downsides for India in terms of the debt market. “We have to underscore the fact that there are a number of domestic and international factors that will impact

74

Debt fund returns

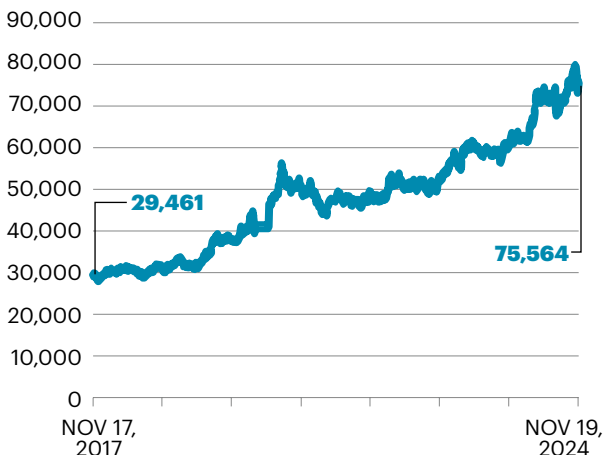
- Gilt funds led with 10-year and 1-year average returns of 8.16% and 10.28%, respectively
- Dynamic and corporate bonds offered consistent returns, averaging 7.31% and 7.23% over 10 years



● GILT WITH 10-YEAR CONSTANT DURATION
● DYNAMIC BONDS ● CORPORATE BOND
RETURNS OVER ONE YEAR ARE ON CAGR BASIS
SOURCE VALUE RESEARCH

Gold rise

- Gold prices have increased by around 156% over the past seven years, rising from ₹29,461 to ₹75,564
- Gold’s strong safe-haven appeal makes it a hedge against inflation and market volatility



SOURCE MCX